KMDA · FY2026 Q1

EARNINGS CALL
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Kamada Ltd. · 27 turns · 8 participants

CAST (IN ORDER OF APPEARANCE)

Operator
Conference Call Operator

Jaime Orlev
Chief Financial Officer

Amir London
Chief Executive Officer

Brian Ritchie
Host, LifeSci Advisors

Jack
Analyst, Stifel & Company

Jim Sidoti
Analyst, Sidoti & Company

Unknown Participant

Unknown Participant

OPERATOR Conference Call Operator

> Greetings and welcome to the Kamada Limited first quarter 2026 earnings conference call. At this time, all participants are in a listen-only mode. A brief question and answer session will follow the formal presentation. Should anyone require operator assistance during the conference, please press star zero on your telephone keypad. As a reminder, this conference is being recorded. It is now my pleasure to introduce your host, Brian Ritchie of LifeSci Advisors. Thank you. You may begin.

BRIAN RITCHIE Host, LifeSci Advisors

Thank you, Operator. This is Brian Ritchie with LifeSci Advisors. Thank you all for participating in today's call. Joining me from Kamada are Amir London, Chief Executive Officer, and Jaime Orlev, Chief Financial Officer. Earlier today, Kamada announced its financial results for the three months ended March 31st, 2026. If you have not received this news release, please go to the investors page of the company's website at www.kamada.com. Before we begin, I would like to caution that comments made during this conference call by management will contain forward-looking statements that involve risks and uncertainties regarding the operations and future results of Kamada. I encourage you to review the company's filings with the Securities and Exchange Commission, including, without limitation, the company's forms 20F and 6K, which identify specific factors that may cause actual results or events differ materially from those described in the forward-looking statements. Furthermore, the content of this conference call contains time-sensitive information that is accurate only as of the date of the live broadcast, Wednesday, May 13, 2026. Kamada undertakes no obligation to revise or update any statements to reflect events or circumstances after the date of this conference call. With that said, it is my pleasure to turn the call over to Amir London, CEO. Amir?

AMIR LONDON Chief Executive Officer

Thank you, Brian. I thank also to our investors and analysts for your interest in Kamada and for participating in today's call. I'm pleased to report that operational and financial performance in 2026 is off to a solid start. First quarter revenues and adjusted EBITDA were in line with our expectations. Importantly, while a temporary shipment delay of a single order, which was already delivered in April, affected our first quarter financial results, the underlying demand for our products continues to increase, supporting our confidence for significantly stronger results over the remainder of 2026. As such, we are reiterating our 2026 annual guidance of $200 million to $205 million in revenues, and $50 million to $53 million of adjusted EBITDA, respectively representing 12 and 23 growth percentage when comparing 2026 guidance midpoints to 2025 results. Importantly, this 2026 annual guidance is based currently solely on organic growth.

We're excited about the growth prospects of our business over both the near and longer term. Our strategy is focused on the expansion of our entire commercial product portfolio, including continued investment in the commercialization and lifecycle management of our six FDA-approved specialty plasma-derived products, supporting organic commercial growth in the U.S. as well as in ex-U.S. markets. As part of our commercial growth, we also anticipate growing our distribution segment through the launch of additional biosimilar products in the Israeli market, as well as the expansion of the distribution business to the MENA region. We further expect to continue ramping up the plasma collection in our three plasma centers, aiming to strengthen our vertical integration, reduce specialty plasma costs, and increase revenues through sales of normal source plasma. Lastly, we are focused on securing new business development and M&A transactions, which will enrich our current portfolio of marketed products, and generate synergies with our existing commercial operation. I will now expand on each of these strategic growth pillars. Our lead product continues to be our anti-REBIS immoglobulin, Kedrub, which is being distributed in the U.S. through our collaboration with Kedrion. End-user utilization of the product in the U.S. is continuing to increase significantly, and our product supply to Kedrion is expected to increase beyond Cadrion's minimum commitment of $90 million sales in 2026 through 2027. As a reminder, our current supply agreement with Cadrion runs through 2031. In addition to a significant market share in the U.S., we continue to grow sales of CamRub in leading international markets such as Canada, Latin America countries, Australia, and Israel. Glacier represents our second leading franchise with revenue contribution driven by growing product sales in ex-U.S. markets and royalty income generated from sale of the product by Takeda in the U.S. and Canada. By working diligently with our distributors in key markets such as Argentina, Russia, and Switzerland, as well as directly in the Israeli market, we are growing our patient base and revenues. while continuing to identify and diagnose new patients suffering from AAT deficiency, which is a chronic, highly misdiagnosed disease. We are also continuing to explore opportunities for additional international markets where Glacier could be registered and launched. Moving on to our anti-CMV immunoglobulin, CytoGum. Last year, we announced the initiation of a comprehensive post-marketing research program for Cytogram, which we believe will help demonstrate the advantages of the product in the prevention and management of CMV disease. We developed this program in collaboration with leading key opinion leaders to explore advancement of novel CMV disease management. I'd like to take this opportunity and talk about two of those investigator-initiated studies. The first study, patient continued to be enrolled into the study titled Strategic Help with Imnoglobulin to Enhance Protection Against Late Disease CMV, or the SHIELD study. The SHIELD study investigates the benefits of cytogram administrated at the conclusion of the antiviral prophylaxis to reduce the risk of clinically significant late CMV in kidney transplant recipients who are CMV seronegative patients and have a CMV seropositive donor. These patients are at the highest risk of developing late-onset CMV infection, which is associated with worse transplant recipient health and outcomes. The second study I'm going to talk supports data which was recently presented by Dr. Daniel Calabresi, MD, staff physician at the San Francisco VA Health Care System, and assistant professor of medicine at the UCSF Lung Transplant Programs. It was presented at the 2026 International Society for Heart and Lung Transplant, the ISHLT, annual meeting in Toronto, Canada. In his presentation, Dr. Calabresi reported data suggesting that CMV may be associated with worse lung transplant outcomes, not only through viral replication, but also through immune activation, as the CMV immunoglobulin, the CMV IVIG, is associated with immune modulation of this response rather than effects on CMV viremia alone. Dr. Calabresi further reported that in a retrospective analysis of CMV high-risk lung transplant recipients, patients who did not receive the CMV IVIG prophylaxis experienced worse clinical outcomes compared with those who did receive the CMV IVIG IVFG prophylaxis, and other CMV serotype groups, highlighting the clinical relevance of the high-risk population and the potential role of CMV IVFG as a targeted intervention. We believe that the data generated by these studies and other studies planned in this program will support increased product utilization for cytograms. Moving on to Varizig or anti-Varizella zuster immunoglobulin indicated for post-exposure prophylaxis in high-risk individuals. We are experiencing strong market demand for the product, mainly in Latin America and in the U.S. market, resulting from our product awareness activities and the increase in number of chickenpox outbreaks. As for the distribution sector, as part of activities to advance organic growth, We will be launching soon in Israel two additional biosimilars by the end of the second quarter and the beginning of the third quarter, and we have several others in the pipeline to be launched in the coming years. We believe this portfolio will become an increasingly important portion of our distribution business, with biosimilars annual sales of between $15 million to $20 million within the next four to five years. We are also continuing to advance expansion of our distribution activity to the MENA region. We've recently entered into several distribution arrangements and initiated activities to register the underlying product with local authorities. We continue to engage in discussion with several additional international companies, offering them full service from registration to commercialization. Moving on to Kamada Plasma. In March, we announced FDA approval of our state-of-the-art plasma collection center in San Antonio, Texas. and the center is now cleared to commence commercial sales of normal source plasma. With FDA approval of the center in hand, we plan to seek subsequent inspection and approval by the European Medicine Agency of both the Houston and the San Antonio centers. As a reminder, each of the Houston and San Antonio facilities are expected to generate annual revenues of between $8 million to $10 million in sales of normal source plasma at full capacity. We expect to initiate normal-source plasma cells during the second half of this year. Moving on to business development and M&As. As previously discussed, we continue to evaluate such opportunities, and we're hopeful that this will be able to secure compelling transactions in the near term, which will enrich our portfolio of marketed products and complement our existing commercial operations. We plan that such transaction will generate synergies with our current commercial portfolio and support our long-term profitable growth. With that, I'll now turn the call over to Jaime for a detailed discussion of our Q1 2026 financial results. Jaime, please go ahead.

JAIME ORLEV Chief Financial Officer

Thank you, Amir. As Amir stated at the top of the call, results for the first quarter of 2026 were solid and in line with our expectations exclusive to temporary shipment delay of a single order, which was already delivered during April. Total revenues for the first quarter were $42.5 million, a 3% increase from the $44 million in the prior year period. The increase in revenues year over year was primarily driven by increased sales of Kedra, as well as increased sales in our distribution segments. Gross profit and gross margins were 19.1 million and 42% in the first quarter of 2026, compared to 20.7 million and 47% in the first quarter of 2025. The reduction in gross margin during the first quarter was affected by products and market sales mix. Operating expenses, including R&D, sales and marketing, and G&A, and other expenses, totaled $12.1 million in the first quarter of the year compared to $13 million in the first quarter of 2025. The decrease was driven by reduction in R&D expenses related to the termination of the Phase III Innovate Clinical trial, which were offset by increases in sales and marketing and G&A expenses related to our investments in the overall growth of the commercial products portfolio. Net income was 4.1 million or 7 cents per diluted share in the first quarter of 2026, up 4% as compared to 4 million and 7 cents per diluted share in the first quarter of 2025. Adjusted EBITDA as detailed in the table was 11.6 million in the first quarter of 2026, equivalent to debt reported in the first quarter of 2025. As of March 31st, 2026, AMADA had cash and cash equivalents of 73.1 million as compared to 75.5 million as of December 31st, 2025. Lastly, in March, we were pleased to declare a dividend of 25 cents per share, totaling approximately 14.4 million. Cash dividend was paid on April 7th of this year. This dividend payment was made in accordance with dividend policy adopted by the board under which we intend to distribute an annual dividend of at least 50% of our annual net income subject to the board's discretion and satisfaction of dividend distribution tests under the Israeli company's law at the time of distribution. The dividend payment reinforces our confidence in the company's future business process, prospects, and ample liquidity to continue investing in our commercial growth, including new business development and M&A transactions, dividends to our shareholders. With that, we are ready to open the call to questions. Operator?

OPERATOR Conference Call Operator

> Thank you. We will now be conducting a question and answer session. If you would like to ask a question, please press star 1 on your telephone keypad. A confirmation tone will indicate your line is in the question queue. You may press star 2 if you would like to remove your question from the queue. For participants using speaker equipment, it may be necessary to pick up your handset before pressing the star keys. One moment, please, while we poll for questions. The first question is from Anadol Samini from Stifel. Please go ahead.

JACK Analyst, Stifel & Company

Hi, team. This is Jack on for Annabelle. Thanks for taking our questions. Two from us. First, could you give a bit more color on the revenue impact that the delayed shipment had on overall growth and which products were primarily impacted? And at this stage of your diversification, should we expect any seasonality from Kedrab and Verizig? What has kind of kept the growth continuing this far into their product lives?

AMIR LONDON Chief Executive Officer

Thank you for the question. So the delay was with one single shipment. Revenue-wise, approximately $2.4 million. It was supposed to be shipped to one of the ex-U.S. territories where we sell our proprietary products. And the delay was primarily because of the situation in the Middle East with limited flights to that specific destination. In terms of seasonality, so there is some seasonality regarding CADRAB in our sales to CADREON and CADREON sales in the market. But because we are basically acting as like a B2B type of company because CADREON carries inventory, so we are less sensitive to that seasonality. Seasonality is because the summertime people are hanging more out. It's time that we see greater demand. number of potential exposure to rabid animals. Varizig is related more to kind of chickenpox outbreaks. So it's less seasonality, maybe a little bit, you know, during the beginning of school year in September, but again, not significantly fluctuating. So it's more about, you know, when there are outbreaks, this is where our product is needed more.

UNKNOWN PARTICIPANT

Great.

UNKNOWN PARTICIPANT

Very helpful.

AMIR LONDON Chief Executive Officer

Thank you. Yeah. Okay.

OPERATOR Conference Call Operator

> The next question is from Jim Sidoti from Sidoti & Company. Please go ahead.

JIM SIDOTI Analyst, Sidoti & Company

Hi. Good afternoon. Thanks for taking the questions. With the distribution business, can you tell us how many products are approved for sale right now?

AMIR LONDON Chief Executive Officer

In total, in the Israeli market, Kamada has around 40 different products which we distribute. We service around 20, 20 plus different international companies. We are growing the biosimilars segment. We are working with multiple companies. In the past, we announced that we have an agreement with Alvotech. Since then, we've added additional that we represent in Israel for the biosimilar segment. We have launched already three products. Two more will be launched over the next few weeks. So we already have five products in the market by the end of this year on the biosimilar site.

In the MENA region, we are expanding. We already signed multiple agreements to represent companies in the region, and we will be continuing to expand sign agreements and to register the products and those products expected to be launched second part of this year into 2027 the first few products that we will be selling in the MENA region under a distribution agreement okay but so the total number of products by the end of the year should be approximately 45 products Approximately, yes, but there is a significant kind of variance between the level or the sales of each one of those products. Some products sell millions of dollars, some sell hundreds of thousands of dollars.

JIM SIDOTI Analyst, Sidoti & Company

So the increase in the first quarter, is that primarily because of the addition of the three products you've added so far, or is that also... It was a

AMIR LONDON Chief Executive Officer

It was across basically the entire portfolio that we have seen. It wasn't based on one single product.

JIM SIDOTI Analyst, Sidoti & Company

Okay. And for the plasma collection business, you indicated you're going to start selling source plasma by the end of the year. So does that mean that you're right now close to collecting whatever plasma you need for your proprietary products at this point?

AMIR LONDON Chief Executive Officer

No, each one of the centers started by collecting normal source plasma. That's kind of the first step for a new center once it was established. And then we are adding specialty programs to the Houston and San Antonio centers. The Beaumont Center is collecting only specialty, and that has been since the day we acquired this center in 2021. So this is not one on account of the other. These programs are running in parallel. The fact that now we have FDA approval for both Houston and San Antonio allows us to sell the normal source plasma that we've already collected since we opened those centers. And that's a cell that will be materialized starting second part of this year.

UNKNOWN PARTICIPANT

All right. Thank you. You're welcome.

OPERATOR Conference Call Operator

> Yeah, I will pass the call over to Brian Ritchie.

UNKNOWN PARTICIPANT

Thank you.

BRIAN RITCHIE Host, LifeSci Advisors

Just a couple of questions that have come in online. Amir, on the plasma collection centers, can you let us know when the Houston and San Antonio centers will reach full collection capacity?

AMIR LONDON Chief Executive Officer

Yeah, so we expect to be running at full capacity towards the end of 2027, early 2028. On the normal source, definitely on the specialty, we'll continue to collect and add more and more donors. So let's say end of 2027, early 2028, this is when the centers are expected to be running at their current planned capacity.

BRIAN RITCHIE Host, LifeSci Advisors

And the last question here has to do with Cytogam. What are the current trends currently impacting that particular product?

AMIR LONDON Chief Executive Officer

So as I mentioned during the call, we are making efforts, investing in expanding the post-marketing clinical program. I mentioned on the call that we just had a strong call a strong, basically, report coming from Dr. Calabresi from UCSF. It was presented at the ISHLT conference, and Dr. Calabresi basically showed a study that was made that basically highlighted the clinical relevance of cytogram, of CMV, IVIG, as a potential targeted intervention for high-risk patients transplanted patients, this in addition to other data that we've been collecting and presenting over the last few years since we acquired the product and started investing in the post-marketing clinical studies. We believe that the data generated by these studies, and this is in addition to the SHIELD study, that it will take a bit longer to see the data, and other studies that we are running through investigate-initiated type of programs will support increased product utilization for cytogram. So we think that the weakness that we were facing when we acquired the product was a lack of recent clinical data. And that's the investment we are making in the product lifecycle management in order to show the benefits, advantages of the product to be used in parallel to the antivirals and actually improve patient outcome.

BRIAN RITCHIE Host, LifeSci Advisors

Thanks, Amir. Appreciate that comprehensive answer. And with that, I'll turn it back to you for closing remarks.

AMIR LONDON Chief Executive Officer

Okay, thank you, Brian. So in closing, we continue to invest in the four-pillar growth strategy with continued progress made in the organic growth of existing commercial portfolio, expansion of distribution business, growth of our plasma collection operation, and securing business development and M&A transactions to support and expedite our growth. We look forward to continuing to support clinicians and patients with important products that we develop, manufacture, and commercialize. And we thank you all for your support, and we remain committed to creating long-term shareholder value. So thank you for participating in today's call, and we hope you all stay healthy and safe. Thank you.

OPERATOR Conference Call Operator

> This concludes today's teleconference. You may disconnect your lines at this time. Thank you for your participation.